

Tata Steel Ltd

Investment Rating : Excellent

Company Overview

Website	https://www.tatasteel.com/
Sector	nan
Market Cap	369,110.65 Cr
PE Ratio	48.97
PB Ratio	9.23
Dividend Yield	1.0 %

Financial Quality

ROE	6.55
ROCE	7.02
CFO Quality	Accrual Risk
FCF CAGR	18.49%
Capital Pattern	Growth Focused

Capital Allocation

Capital Score	100.0
Reinvestment	Growth Focused
Debt Trend	Increasing Debt
Leverage	Moderate

Business Overview

Tata Steel Ltd is Asia's first integrated private steel company setup in 1907. The company has presence across the entire value chain of steel manufacturing from mining and processing iron ore and coal to producing and distributing finished products. The company has a target to increase domestic steelmaking capacity to 30 MnTPA by 2025.

Strengths

Strong free cash flow generation over 5 years signals healthy business fundamentals.

Risks

Operating margins declining for 3 consecutive years suggest pricing or cost pressure. Revenue contraction over 2 consecutive years indicates demand weakness or market share loss. Rising debt over the past 3 years suggests increasing financial leverage risk. Net debt exceeding three times operating profit indicates elevated financial leverage.